twenty-first century unfolded, they became all the rage among endowments, foundations, and pension and sovereign funds.

Thinking that traditional equity and debt markets are too expensive to provide adequate returns and increasingly too efficiently priced to possibly produce alpha (market outperformance), institutional investors have been allocating a growing portion of their assets under management to alternatives. In his 2000 book *Pioneering Portfolio Management*, the groundbreaking head of Yale's Investment Office, the late David Swensen, makes a strong case for these investments. He points to the historically inefficient pricing of many asset classes,[2] the record-high risk-adjusted returns of many alternative managers, the high dispersion between the best such managers and the rest of the pack, and the limited performance correlation between alternatives and other asset classes. He highlights the importance of choosing the right alternative managers by noting the large dispersion of returns between top-quartile and third-quartile performers. Many endowment managers have emulated Swensen by committing to these asset classes.

One of the most popular alternative asset classes today is private equity, a topic Graham and Dodd did not specifically address.[3] Though investing in private businesses may seem quite different from buying fractional interests in publicly traded companies, many of the analytical considerations regarding how each are valued are the same. The precise factors that can cause a stock to become mispriced obviously don't apply in private investments that don't trade on a market, but private investments can become mispriced for similar reasons. Under urgent

---

[2] Many investors make the mistake of thinking about returns to asset classes as if they are permanent. But returns are of course not inherent to any asset class; they result from the fundamentals of the underlying businesses *and* the price paid by investors. Capital pouring into an asset class can, reflexively, impair the ability of those investing in that asset class to continue to generate the anticipated returns.

[3] They did consider the relative merits of corporate control enjoyed by a private business owner versus the value of marketability enjoyed by a listed stock. (Chap. 28)